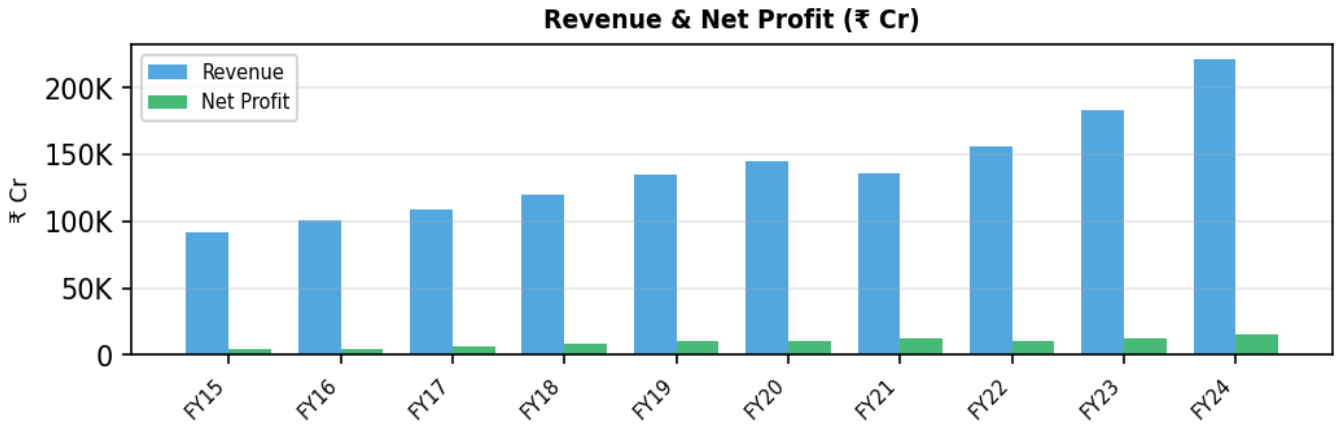
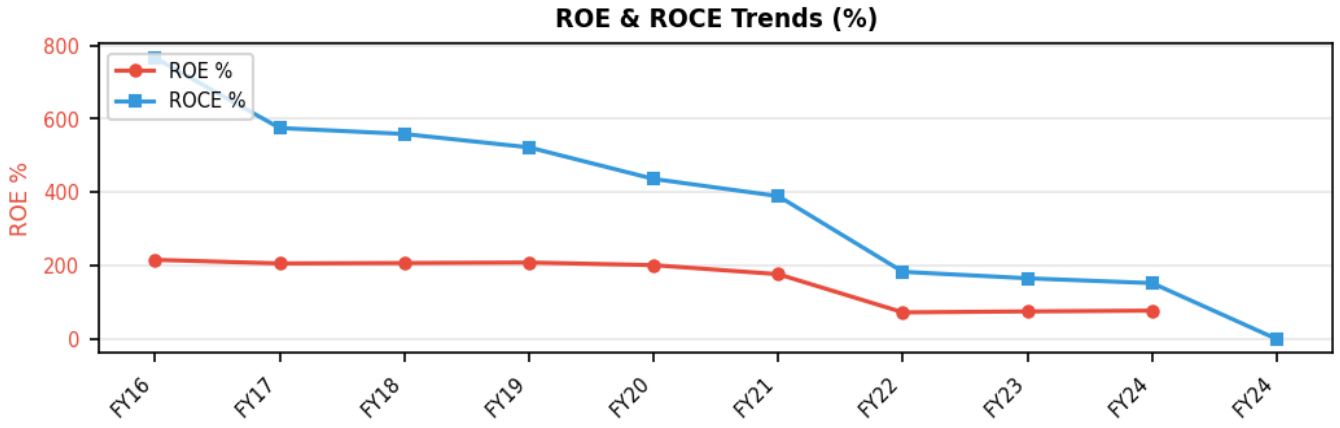
Larsen & Toubro Ltd

LT | Industrials | FY Basis: Sep 2024

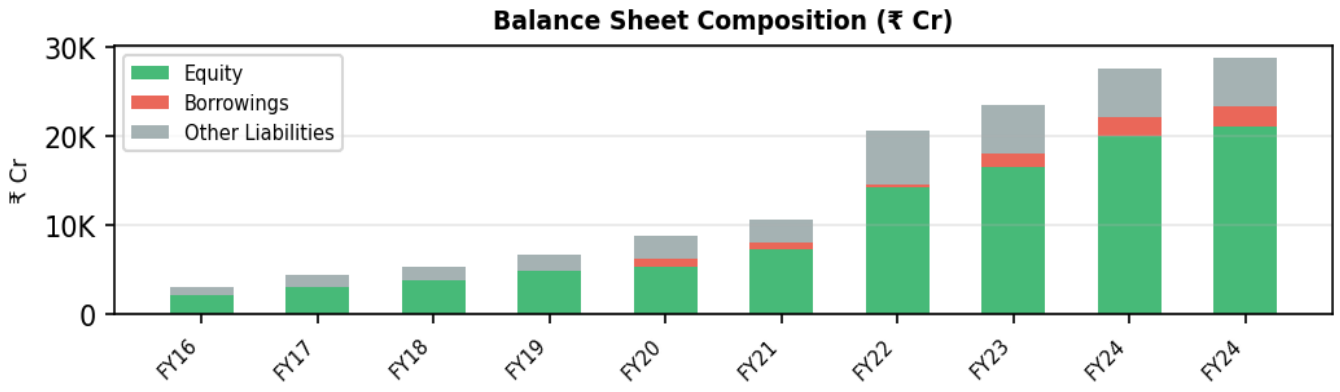
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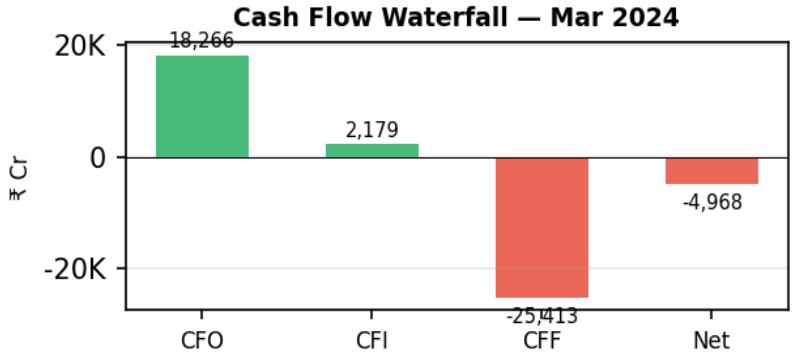
N/A ROE %	**0.0%** ROCE %	**N/A** Net Profit Margin
0.11 D/E Ratio	**10.3%** Rev CAGR 5yr	**N/A** FCF





Larsen & Toubro Ltd — Detailed Analysis





Strengths

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Risks

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern

Liquidating Assets